# Anatomy of a Smooth Transition

AGI displacement · fiscal and social safety nets

01

## AGI displaces

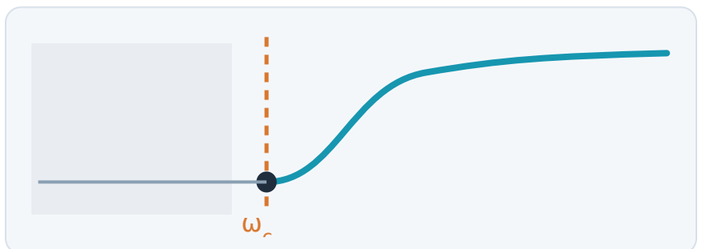
AGI reaches into task creation itself, weakening the re-absorption of displaced workers.

$\omega \downarrow$

02

## Threshold

Past the critical re-absorption rate $\omega_c$, the system falls into a low-employment basin.




03

## Workfare buffers

Workfare and retraining move the threshold, keeping consumption above the floor.

**0.357 > 0.30**

min $C_t$ above $C^{min}$

**Workfare — smooth**
consumption stays above the floor

**No policy — fails**
the consumption floor is breached

Outcomes are conditional on the social-instability calibration; the floor breaks only at frontier growth $g_A$ = 10%.